

DÆMON-POLY // WORLD CUP 2026 EDGE DOCUMENT

Classification: OPERATOR ONLY — v1.0 | June 24, 2026** **Market:** FIFA World Cup 2026 | Polymarket + Kalshi** **Final:** July 19, 2026 | MetLife Stadium, East Rutherford, NJ

0. TOURNAMENT STATUS BRIEF

Item	Detail
Phase	Group Stage (Final Round — Matchday 3)
Today	June 24, 2026
Group Stage Ends	June 27, 2026
Knockout Begins	June 28, 2026 (Round of 32)
Final	July 19, 2026
Teams Remaining	48 → 32 after June 27
Total Polymarket Markets	442+ active
Winner Market Volume	\$3.1B+

We are at Peak Liquidity Phase. The bracket locks in 3 days. This is the highest-leverage window of the entire tournament.

1. CURRENT MARKET SNAPSHOT — POLYMARKET WINNER ODDS

Team	Polymarket %	Implied Probability	Status
France	~19%	Frontrunner	Group I — 2W likely

Argentina	~15%	Co-favorite	Group J — qualified
Spain	~14%	Deflated by draw	Group H — recovered
England	~13%	Contender	Group L — advancing
Portugal	~8%	Ronaldo factor	Group K — active
Germany	~7%	Strong start (7-1 in GD)	Group E — qualified
Netherlands	~6%	Gakpo/Brobbeey form	Group F — strong
Brazil	~6%	Below market expectation	Group C — active
Norway	~4%	Haaland wildcard	Group I — advancing
USA	~3%	Home soil factor	Group D — qualified

European teams collectively at ~70% (Polymarket Continental market). CONMEBOL at ~23%.

2. MARKET ARCHITECTURE — WHAT DÆMON-POLY IS TRADING

Polymarket hosts 442+ FIFA World Cup markets across **10 subcategories**. DÆMON-POLY will operate across three tiers:

TIER 1 — PRIMARY MARKETS (High Volume, Highest Edge)

Market	Platform	Est. Volume	Edge Type
World Cup Winner	Polymarket	\$3.1B+	Cascade reprice, bracket reveal
Golden Boot Winner	Polymarket	\$29M+	Elimination cascade
Stage of Elimination (per team)	Polymarket	\$1K–\$1M per team	Bracket mismatch
Continental Futures	Polymarket/Kalshi	\$6M+	Broad directional

TIER 2 — TACTICAL MARKETS (Medium Volume, Fast Resolution)

Market	Platform	Edge Type
Group Stage Futures (Group Winner)	Polymarket	Final matchday scenarios
Match Winner (per game)	Polymarket/Kalshi	In-play hydration break
Team Advances to R16/QF/SF	Polymarket	Stage ladder arbitrage

TIER 3 — PROP MARKETS (Low Volume, High Variance, Selective)

Market	Platform	Edge Type
Messi vs. Ronaldo Goal Contributions	Polymarket	Star exit cascade
Player Futures (Golden Ball, etc.)	Polymarket	Selective post-knockout
Will There Be an Unbeaten Champion?	Polymarket (75% Yes)	Structural hold
Culture/Records Markets	Polymarket	Micro-edge, low priority

3. THE 5 CORE EDGES — DÆMON-POLY WORLD CUP THESIS

EDGE 1: ELIMINATION CASCADE REPRICE

The mechanism: When a team is eliminated, Polymarket rules immediately resolve their “Winner” share to “No.” The freed capital does NOT redistribute proportionally — it follows narrative, not probability. The team that eliminated the favorite absorbs **less probability than their true remaining odds justify** in the 24-48 hours following the upset.

Why the market is slow: Casual traders are reacting to the story (fallen giant) rather than updating the actual knockout bracket math. The upset survivor is systematically underpriced for 12-36 hours.

DÆMON-POLY play:

- SIGNAL agent monitors real-time group standings via ESPN Public API
- On any major-team group exit (France, Argentina, Spain, England, Brazil): immediately calculate remaining field probability
- Enter upset survivor within 2-4 hours of elimination
- Exit when repricing closes the gap (typically 70-80% of the gap closes within 24 hours)

Historical analogue: Spain's 0-0 draw against Cabo Verde caused their winner shares to tank from ~16% to ~13.8% while Cabo Verde's group win shares barely moved despite being tied for first — classic narrative lag.

Cap: Max 8% bankroll per cascade play.

EDGE 2: BRACKET REVELATION WINDOW (LIVE NOW — EXPIRES JUNE 27)

The mechanism: The World Cup bracket is fixed by DATE and VENUE before teams are confirmed. Once group stage ends June 27, bracket matchups are locked. There is a narrow 12-36 hour window where:

- Bracket positions are mathematically confirmed before the match
- "Stage of Elimination" markets haven't fully repriced for the actual opponent
- Winner market prices haven't integrated the exact bracket path

The new-format amplifier: The 8 best third-place rule means bracket scenarios are unusually complex. Markets are even slower to price third-place team bracket positions correctly because most traders are not doing the combinatorics.

DÆMON-POLY play:

- SIGNAL agent cross-references confirmed bracket positions against "Stage of Elimination" market prices
- Flag teams with favorable bracket paths priced lower than their win% should justify
- Enter "Stage of Elimination" at QF or later for teams the market is underpricing
- This window is open **RIGHT NOW through June 27** and will not recur until 2030

Priority targets: Monitor which confirmed group winners draw favorable third-place opponents — historically the weakest R32 matchup path.

Cap: Max 6% bankroll per bracket edge play.

EDGE 3: HYDRATION BREAK IN-PLAY WINDOW

The mechanism: FIFA 2026 introduced **mandatory 3-minute hydration breaks in every half** (once per half in each 45 minutes). Broadcasters run commercials during these pauses. This is a **known, scheduled, broadcast-synchronized pause** in live action.

The trade opportunity: Prediction markets for match outcomes settle at **90-minute**

regulation (not ET/penalties). During the hydration break:

- Score is live and known
- Match momentum can be assessed (shots, possession, xG)
- The 90-minute market hasn't fully repriced for the 20-40 minutes of play remaining
- Casual traders are watching commercials, not trading

DÆMON-POLY play:

- SCOUT agent ingests ESPN live match stats in real-time during knockout matches
- SIGNAL agent calculates current xG, score, time remaining, and compares to Polymarket live odds
- On clear divergence during hydration break: execute match winner position
- Target: Matches where a team is up 1-0 but probability has moved less than 15 percentage points from pre-match

Timing: Hydration breaks typically occur around 25-30 min and 70-75 min. Pre-position SIGNAL to be running during these windows.

Cap: Max 5% bankroll per in-play position. These close fast — 20 min max hold.

EDGE 4: STAGE OF ELIMINATION LADDER ARBITRAGE

The mechanism: Polymarket's "Stage of Elimination" markets (one per team) resolve at the specific round a team exits. Each outcome (R32, R16, QF, SF, Champion) is priced independently. The sum of all outcome probabilities should equal ~100%. They often don't — especially in mid-tournament when casual traders pile into the intuitive outcomes and ignore the mathematical constraints of the bracket.

Example of the discrepancy:

- If England's Stage of Elimination market prices R16 exit at 25%, QF at 20%, SF at 15%, and Champion at 13%, that implies 73% chance of reaching R16 or later — but if their "Advances Past R32" market is priced at 85%, there's a structural gap.
- Cross-platform: Kalshi and Polymarket often price the same team's advancement at 3-7% apart on this exact dimension.

DÆMON-POLY play:

- Build a live ladder model for each remaining team: sum Stage of Elimination outcomes,

compare to bracket-derived probability

- Flag teams where the implied advancement probability in the ladder market differs from the "Team Advances" market by >5%
- Enter the underpriced side, exit when gap closes
- Kalshi vs. Polymarket spread: capture cross-platform discrepancy when it exceeds 5%

Cap: Max 5% bankroll per ladder arbitrage play.

EDGE 5: STAR PLAYER EXIT CASCADE (GOLDEN BOOT / PLAYER PROPS)

The mechanism: The Golden Boot market (~\$29M volume) and player-vs-player markets (Messi vs. Ronaldo at \$29M volume, Messi currently 53%) are among the most emotionally traded markets in the tournament. When a star's team is eliminated:

- Their Golden Boot probability collapses to near-zero immediately
- Their player H2H probability collapses
- The "freed" probability redistributes slowly, following the surviving scorers — but the media narrative keeps the eliminated player in headlines for 24-48 hours, slowing repricing

Current positions of interest:

- Messi (Argentina, 15% WC odds) vs. Ronaldo (Portugal, ~8% WC odds): Messi leads at 53% despite Argentina having better tournament odds, which makes sense. If Argentina exits early, Messi's 53% collapses — enter Ronaldo's side.
- Golden Boot leader entering knockout rounds: any surviving top scorer whose team has a favorable bracket path is underpriced vs. their tournament probability would suggest.

DÆMON-POLY play:

- Maintain a running Golden Boot leaderboard via SCOUT (ESPN API)
- On any top-5 scorer's team elimination: immediately evaluate remaining scorers' Golden Boot probability vs. current market
- On Messi vs. Ronaldo: monitor Argentina/Portugal bracket outcomes; position for the cascade when one is eliminated
- Do NOT enter Golden Boot positions in QF or later for players with fewer goals than the leader — binary risk too high

Cap: Max 5% bankroll per player cascade play.

4. TOURNAMENT PHASE STRATEGY

PHASE 1: GROUP STAGE CLOSE — TODAY THROUGH JUNE 27

Status: ACTIVE NOW

This is the **bracket revelation window** (Edge 2). All final group stage games are happening simultaneously to prevent collusion (concurrent 3pm and 6pm kickoffs today).

DÆMON-POLY tasks this phase:

1. Monitor today's simultaneous final-round matches
2. Track which teams clinch group winner vs. runner-up vs. third
3. Cross-reference with Stage of Elimination markets for mispricing (Edge 4)
4. Look for narrative-lagged survivor opportunities from any late upsets (Edge 1)
5. Confirm which 8 third-place teams advance and map bracket path (Edge 2)

Markets to watch now:

- Group B: Switzerland vs. Canada (today 3pm) — Canada at 61% Group B winner market
 - Group C: Brazil vs. Scotland, Morocco vs. Haiti (today 6pm) — Scotland's WC dreams on the line
 - Group A: Czechia vs. Mexico, South Africa vs. South Korea (today 9pm)
-

PHASE 2: ROUND OF 32 — JUNE 28 TO JULY 3

The highest-frequency trading phase: 16 matches in 6 days.

Framework:

- Each match is a binary elimination event
- Bracket position determines next opponent — cascades across Winner + Stage of Elimination
- Hydration break windows open for in-play trades (Edge 3)
- Average of 2-3 matches per day creates multiple entry windows

Priority bracket matchups (as currently projected):

Match	Interest Level	Edge Type
England vs. DR Congo	HIGH — England Stage of Elim	Ladder vs. Winner discrepancy
Germany vs. 3rd-place team	HIGH — Germany has favorable draw	Survivor underpricing
USA vs. Group B/E opponent	HIGH — Home soil premium	Narrative vs. probability
France vs. [Group J R-up]	HIGH — \$3B market moves on France	Any early French scare
Brazil vs. Morocco	HIGH — Both at market discounts	Cascade setup

Execution rule: Enter no more than 3 active Polymarket positions simultaneously during R32. Manage attention.

PHASE 3: ROUND OF 16 — JULY 5-7

8 matches, 3 days. Field narrows from 32 to 8.

Framework:

- Winner market compresses — top 3-4 teams now pricing correctly
- Stage of Elimination markets become the edge (remaining outcome compression)
- Golden Boot enters volatile phase — top scorers from eliminated teams instantly go to near-zero (Edge 5)
- Partial exits on any Winner positions entered pre-tournament or in Phase 1

Key tactical note: At QF/SF price levels, entering new Winner market positions is capital-inefficient — a team at 30%+ has limited upside but full binary downside. **Shift primary activity to Stage of Elimination ladder and Golden Boot cascade.**

PHASE 4: QUARTERFINALS — JULY 9-10

4 matches. Field = 8 teams.

Framework:

- Tournament-winner market prices have largely converged with true probability
- Primary edge = cross-market arbitrage (Kalshi vs. Polymarket spread on QF teams)
- In-play hydration break plays most valuable here — fewer matches, deeper attention, sharper execution
- Golden Boot leader tracking becomes highest priority signal

DÆMON-POLY constraint: No new entry into Winner market for teams priced above 25%. Risk/reward math does not support it.

PHASE 5: SEMIFINALS + FINAL — JULY 14-19

2 + 1 matches. Pure execution.

Framework:

- Winner market is near-efficient — 4 teams, no fog
- Final-day in-play trading is the last window for Edge 3
- Golden Boot resolves with Final — final 2-3 scoring scenarios can still move it by 20%+ on match day
- Cultural/novelty markets (Records, Culture subcategory) may have residual small-edge plays

Primary action: Hold any surviving futures positions. Execute exit at 70-80% of theoretical max value rather than riding to resolution — reduces binary final-match risk.

5. AGENT ARCHITECTURE — WORLD CUP DEPLOYMENT

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DÆMON-POLY // WORLD CUP
AGENT STACK v2.0
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SCOUT AGENT (Data Layer)

- ESPN Public API (free, no auth) — live scores, lineups, xG
- FIFA.com public match data — official results
- Polling interval: 60s during matches / 5min between

└─ Output: structured match state JSON → SIGNAL

SIGNAL AGENT (Intelligence Layer – claude-sonnet-4-6)

└─ Inputs: Match state + Polymarket live odds + Kalshi odds

└─ Edge detection:

│ └─ Cascade trigger: team elimination → reprice calc

│ └─ Bracket path: confirm bracket → Stage of Elim scan

│ └─ Hydration window: score + xG + remaining time → in-play flag

│ └─ Ladder arb: sum Stage of Elim outcomes → compare to Advances market

└─ Output: TRADE SIGNAL or MONITOR signal → OPERATOR

└─ Discipline check: validate against Pre-Flight Gates before output

OPERATOR (Human Interface – Telegram)

└─ Receives all SIGNAL outputs

└─ TRADE SIGNAL: includes market, direction, size, rationale, gate check

└─ MONITOR signal: includes watch condition, next check time

└─ Manual approval required before execution (for now)

EXECUTION (Manual → Semi-Auto future)

└─ Polymarket: primary platform (Winner, Stage of Elim, Props)

└─ Kalshi: parallel platform (cross-platform spread capture)

└─ Log every trade: entry price, rationale, edge type, exit price

Tech stack: Kimi (build) → Railway (deploy) → ESPN API (data) → claude-sonnet-4-6 (signal) → Telegram (operator)

6. PRE-FLIGHT GATES — WORLD CUP EDITION

Incorporating lessons from US Open debrief (PF-09, PF-10) and World Cup-specific rules:

Gate	Rule	World Cup Spec
PF-01	Max bankroll per market	8% Winner / 6% Bracket / 5% In-play / 5% Props
PF-02	No adding to losing positions	If entry is down >30%, DO NOT add. Accept loss or hold.
PF-03	Max concurrent positions	3 active Polymarket positions simultaneously
PF-04	Entry timing	Cascade trades: enter within 4 hours of trigger. Bracket: enter within 12 hours of lock.

PF-05	Exit discipline	Take 70-80% of theoretical max rather than riding binary resolution
PF-06	In-play position hold time	Max 20 minutes. Hydration break only.
PF-07	Cross-platform threshold	Only enter Kalshi/Polymarket spread when gap $\geq 5\%$
PF-08	Winner market price ceiling	No new entries for teams priced above 25% in QF or later
PF-09 (US Open)	No single-team concentration	Never exceed 10% bankroll on any single outcome
PF-10 (US Open)	No trade cap violations	Max 5 trades per tournament phase (R32, R16, QF, etc.)
PF-WC-01	NEW: Narrative lag rule	Wait minimum 2 hours after major upset before entering — avoid catching falling knife
PF-WC-02	NEW: Third-place team caution	No Stage of Elimination positions for 3rd-place qualifiers until their R32 matchup is confirmed
PF-WC-03	NEW: Props max	No more than 15% of total bankroll across all prop markets simultaneously

7. SIGNAL OUTPUT FORMAT (TELEGRAM)

Every SIGNAL output from DÆMON-POLY to Telegram follows this format:



DÆMON-POLY SIGNAL

```

TYPE: [CASCADE / BRACKET / IN-PLAY / LADDER / PROP]
MARKET: [Exact Polymarket/Kalshi market name]
DIRECTION: YES [outcome] / NO [outcome]
ENTRY PRICE: [cents / %]
TARGET EXIT: [cents / %]
EDGE: [1-sentence description of the edge]
GATE CHECK:  All PF gates passed /  [flag]
SIZE: [% of bankroll]
CONFIDENCE: [HIGH / MEDIUM / SPECULATIVE]

```

EXPIRES: [time/event when opportunity closes]

ACTION REQUIRED: APPROVE / SKIP

8. PRIORITY SIGNAL WATCH LIST — NEXT 72 HOURS

These are the highest-probability edge windows opening between now and June 27:

IMMEDIATE (Today — Final Group Matchday 3)

1. **Scotland vs. Brazil (today 6pm, Hard Rock Stadium)** — Scotland needs a win to advance. Polymarket currently has Scotland at ~3% WC odds. If Scotland beats Brazil: Brazil's \$6% WC odds cascade to near-zero. Prepare Brazil → "No" scale position. Also: Brazil's Stage of Elimination (Group Stage) was priced before this match — re-check immediately after.
2. **Morocco vs. Haiti (today 6pm)** — Morocco at 34% to reach Final (head-to-head market). They're likely to qualify. Monitor Morocco Stage of Elimination market vs. their R32 opponent (England projected). Morocco vs. England is a historically significant matchup for market overreaction.
3. **Switzerland vs. Canada (today 3pm)** — Canada at 61% Group B winner. If Switzerland wins and Canada drops to runner-up, Canada's bracket path changes. Group B Winner market still live.

THIS WEEK (June 25-27)

4. **USA's final group game (June 25 vs. Türkiye)** — USA already qualified. If US wins the group vs. runner-up, bracket path changes. USA's home-soil narrative inflates their Stage of Elimination probabilities beyond statistical basis — potential fade opportunity if they draw a difficult R32 opponent.
5. **Argentina's final group game (June 27 vs. Jordan)** — Argentina needs to lock in their bracket position. Jordan is eliminated. This is a trap game narrative-wise. Monitor for any Argentina scoring/injury news that might move WC Winner market pre-match.
6. **Spain vs. Uruguay (June 26)** — Spain recovered from Cabo Verde draw, beating Saudi Arabia 4-0. They've been rerated from ~13.8% back toward ~14%+. If Spain wins group, they get favorable bracket seed. This is one of the best risk/reward positions remaining in the Winner market.

BRACKET LOCK (June 27-28)

7. **Full bracket reveal (all groups confirm, June 27)** — This is the single biggest intelligence event before July 19. Run full bracket probability model immediately. Flag all Stage of Elimination markets that don't integrate actual bracket opponent. Enter within first 12 hours.
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9. RISK REGISTER

Risk	Likelihood	Impact	Mitigation
Major injury to frontrunner star (Mbappe, Messi, Bellingham)	MEDIUM	HIGH on player props	Monitor injury news; exit player positions at first sign
VAR controversy / match replay	LOW	MEDIUM on 90-min markets	In-play positions ONLY if lead ≥ 2 goals
Polymarket liquidity dries up on small team markets	MEDIUM	LOW (avoid small markets)	Only trade Tier 1 and Tier 2 markets by volume
Cascade entry timing (catching falling knife)	MEDIUM	HIGH if violated	PF-WC-01: wait 2 hours minimum after trigger
New York access to Polymarket	HIGH (NY restriction)	HIGH	Use Kalshi as primary regulated alternative; Polymarket only if VPN-accessible per operator's current setup
Over-trading during high-action days (multiple matches)	HIGH	HIGH (US Open lesson)	PF-10: max 5 trades per phase

10. BANKROLL DEPLOYMENT PLAN

Assumes normalized bankroll unit of 100% = total allocated capital for World Cup.

Phase	Max Allocation	Priority Markets
Group Stage Close (now-June 27)	20%	Bracket edge, final-day group upsets
Round of 32 (June 28-July 3)	35%	Cascade reprice, in-play hydration
Round of 16 (July 5-7)	20%	Ladder arb, Golden Boot positioning
Quarterfinals (July 9-10)	15%	Cross-platform spread, in-play
Semifinals + Final (July 14-19)	10%	Golden Boot, selective in-play

Reserve: Always maintain 20% undeployed as dry powder for unexpected cascade events.

11. MONETIZATION OVERLAY (TELEGRAM SIGNAL CHANNEL)

Per DÆMON-POLY monetization roadmap:

- **Subscriber format:** Each SIGNAL above is formatted for Telegram broadcast
 - **Lead signal vs. full signal:** Free subscribers get TYPE + MARKET + DIRECTION. Paid (\$49-97/mo) get entry price, size, gate check, and rationale
 - **World Cup is the launch event** for Telegram channel — \$3.1B in WC volume = massive subscriber interest in July
 - **Event pass format:** Consider a one-time \$29 “World Cup Pass” (R32 through Final) as an entry product
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12. DATA SOURCES & API ENDPOINTS

ESPN Public API (no auth required):

```
└─ Live scores: https://site.api.espn.com/apis/site/v2/sports/soccer/fifa.world/
└─ Team standings: https://site.api.espn.com/apis/v2/sports/soccer/fifa.world/st
└─ Match details: https://site.api.espn.com/apis/site/v2/sports/soccer/fifa.worl
```

FIFA Public (no auth for basic data):

```
└─ https://api.fifa.com/api/v3/calendar/matches?idseason=...
```

Polymarket (read-only, no auth for market data):

└─ <https://gamma-api.polymarket.com/markets?category=soccer>

Kalshi (requires account for trading, public for prices):

└─ <https://trading-api.kalshi.com/trade-api/v2/markets>

APPENDIX A — WORLD CUP 2026 FORMAT CHEAT SHEET

- 48 teams, 12 groups of 4
- Top 2 from each group + 8 best 3rd-place teams → Round of 32 (32 teams)
- Round of 32: June 28 – July 3
- Round of 16: July 5-7
- Quarterfinals: July 9-10
- Semifinals: July 14-15
- Third-place playoff: July 18
- **FINAL: July 19 — MetLife Stadium, East Rutherford, NJ**
- If level after 90 min → 30 min ET → penalties
- **Match winner markets settle at 90 min regulation only (not ET/penalties)**
- Immediate "No" resolution when team is eliminated from all Winner markets

DÆMON-POLY v2.0 — World Cup 2026 Edition Built for FLSD Staffing LLC / AXIOM
Operator Stack Telegram: [channel TBD] | Deploy: Railway | Intelligence: claude-sonnet-4-6